Timing strategies are just one part of the tax savings available to those who *Choose FI*. The next principle is that the IRS does not treat all income equally. Earned income from a job is taxed most heavily. The more you earn, the less friendly the tax code is. As we shift from earned income to income generated by investments, the tax code shifts further in our favor.

For now, let's focus on paper investments consisting of stocks and bonds. We favor holding these investments in low-cost index funds or exchange-traded funds (ETF) in large part because they are simple and tax friendly. (We'll cover passive index investing in detail in Chapter 12). Once you understand these concepts, we can expand them to other investing options. Options include investing in your own business (Chapter 13) or investing in real estate (Chapter 14). Each of these paths produces even more options to limit taxes, allowing you to keep more of the wealth you create.

Most investment income (e.g., qualified dividends and long-term capital gains) is taxed at only three rates: 0 percent, 15 percent, and 20 percent. The tax rate is 0 percent for those with incomes at or below the 12 percent marginal tax rate. Interest and short-term capital gains are taxed at your marginal tax rates. This tax structure